

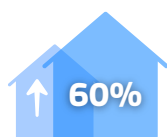
MAKING HOUSING AFFORDABLE IN THE EU

The NextGenEU contribution

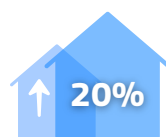
Decent housing is a basic need, which also determines access to education, employment, health services, and democratic rights.

Affordability and accessibility of housing in the EU has become a source of concern.

Many Europeans struggle keeping up with the housing related costs and housing supply requires significant investment to match current demand (EUR 150bn per year).



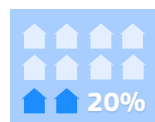
Increase in **house prices** since 2013 across the EU, faster than household income.



Growth of **average rents** with new rents growing significantly more.



Residential building permits since 2021.



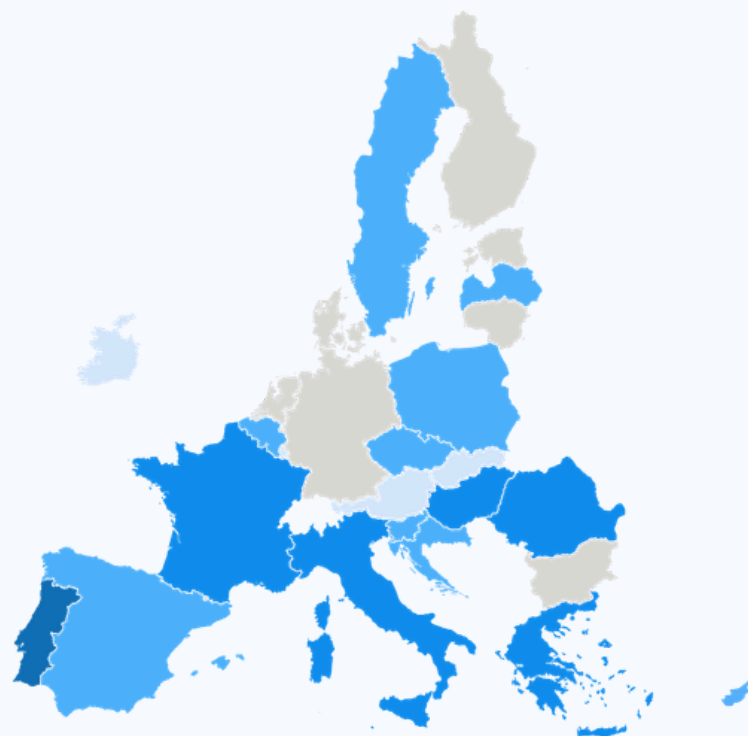
Dwellings unoccupied.

**NextGenEU
is directly
addressing
these challenges
by investing**

€18.1 BILLION¹

in making housing more
affordable and accessible,
directly benefiting

**1.5 MILLION
HOUSEHOLDS²**



Combined RRF reform/investment support for housing affordability³

¹ Estimated expenditure by the Commission services of the relevant measures targeting housing affordability included in the RRP as of 20/03/2026. The EU is supporting this objective by already mobilising at least EUR 43 billion housing related investment under the current MFF through Cohesion Policy Funds, InvestEU, LIFE, the Single Market Programme and Horizon Europe as well as through NextGenerationEU.

² The figures presented below are an estimation by the Commission services of the direct and measurable impact of the relevant measures included in the RRP as of 20/03/2026. These figures are illustrative and cannot commit the Commission in any way.

³ The inclusion in RRP of direct and specific reforms for housing affordability and/or accessibility counts as 1; dedicated investments each count as one (affordable housing, social housing, energy efficiency renovations for disadvantaged recipients, reforms, and measures for youth). Sums are represented as 0=grey / 1=light blue to 4=dark blue

THE NEXTGENEU WAY



Novo Mesto, Slovenia

NextGenEU delivers long-lasting solutions



Development of **additional social housing and affordable housing**.



improvement of housing conditions, including **energy performance**.



Affordable student residences and opportunities for young people to buy their first home.



Supported reforms to **improve market conditions** and to foster **investments in construction**.

Supporting Member States in implementing structural reforms

Key reforms in the housing market, such as **regulatory changes in taxation** are helping better address challenges in the purchase and rental markets, while other reforms are **streamlining construction prerequisites and permitting** that speed up the delivery of investments. In addition, the creation of **housing agencies and support schemes** underpin current and future projects in this area. For instance, in **Slovenia** local communities, public housing funds and non-profit housing organisations are now offered long-term loans with favourable interest rates for the construction, purchase, or renovation of non-profit rental housing.



Solutions with municipalities at the heart

Reforms like the *2.0 Housing Pact Law* in **Luxembourg**, empower municipalities to mobilise land for construction and to renovate existing dwellings to increase social housing. They also set out the possibility to have a certain percentage of developed land allocated to affordable housing. To achieve this objective, municipalities can sign an 'initial convention' with the State local 'logement' (PAL).

Better quality homes through renovations

Across the EU, support to large-scale renovation of housing, is helping households reduce energy costs and making housing more affordable, especially for vulnerable consumers. As such, 40 000 social housing units in **France** have received grants for energy-efficient renovations.



Arpajon-sur-Cère, France



Affordable accommodation for students

The lack of access to affordable housing for young people often hinders participation in tertiary education. NextGenEU supports investments to increase the affordability of accommodation for students, through reform of student housing regulations, such as in **Italy**, coupled with investments in the construction and renovation of residences in several Member States, like in **Portugal, Romania** and **Sweden**.

DRIVING SOCIAL CHANGE



With more than €163 billion allocated to social objectives, NextGenEU addresses access to education, employment, and care, which often begins with something as basic as a housing.

NextGenEU is helping make life more affordable and inclusive by **supporting housing investments and reforms** providing people with a **place to live** and to fully participate in society. With more than €163 billion allocated to social objectives, NextGenEU addresses access to education, employment, and care, which often begins with something as basic as **housing**.

RRF measures have already reached more than **12.6 million** young people aged 15–29⁴ through investments in expanding **student housing** in Italy, Portugal, Romania, and Sweden, alongside scholarships that help young people pursue tertiary education across Member States. Together, these measures help the next generation build secure and independent futures.

At the same time, support to social inclusion through initiatives such as **local housing agencies** and the **Housing First** approach, is in place to effectively address vulnerable situations and homelessness. These initiatives include sheltered dwellings and temporary accommodation with heating and basic utilities, providing immediate safety and helping people move towards more stable housing. Complementary reforms support **long-term and community-based care**, ensuring that older persons and people with disabilities can live independently within their communities.

Social inclusion begins with affordable housing and leads to affordable living.

⁴ The Recovery and Resilience Scoreboard common indicators: https://ec.europa.eu/economy_finance/recovery-and-resilience-scoreboard/common_indicators.html



Elsene/Ixelles, Brussels, Belgium

Italy increases its social housing units offer and renews degraded areas

Italy is increasing its social housing stock with more than 10 000 additional and renewed social housing units for low- and middle-income families. Accessibility and safety of public spaces was improved by renovating more than 1 000 000 sqm of degraded spaces.

Belgium makes social housing more energy efficient

Belgium is renovating its social housing stock to improve its adequacy with more than 4 700 homes renovated across all Belgian regions. The measure helps reduce housing costs by improving the energy efficiency of homes through renovation, allowing citizens to consume less energy and, as a result, lower their energy bills.



Mantua, Italy



Poland reforms legislation for low and middle-income households

In Poland, a legislative act increasing the support for investments in construction of energy efficient buildings accessible by low- and average-income households entered into force at the end of 2022. Compared to standard housing, support is increased from 80% to 95% for buildings for low-income households and from 35% to 60% for households with average incomes, applied to any source of public support.

Czechia expands the affordable housing supply

NextGenEU has helped housing affordability through housing investments and the adoption of a key structural housing reform – the Affordable Housing Act. For example, EU supported investment in a public-private co-investment facility for the renovation and construction of affordable housing (EUR 39.6 million). The Act establishes mechanisms to help applicants find housing and encourages the use of empty houses by supporting tenants in fulfilling their obligations to landlords.





Marvila, Lisbon

Lisbon's affordable housing in Marvila

In Marvila, Lisbon, affordable homes are being built through the construction of two nearly-zero energy buildings with 50 municipal rental units. These houses are part of a broader project, which includes another 105 homes currently under construction, also intended for affordable rent.

Barcelona's social and Cooperative Housing in Igualada

La Torreta housing cooperative will rehabilitate an old textile factory called Depunt, built in 1950 and which is now publicly owned. Renovation works foresee the construction of 12 flexible and adaptable housing units to the current and future needs of the tenants.



Iguàlada, Barcelona (Photo by La Dinamo Fundació)



Source: © Swedish government

Göteborg's investment aid for rental and student housing - Trenum Borås AB

This project is part of an investment scheme called *Investment aid for rental and student housing*, which is relieving the housing shortage by increasing the supply of new rental dwellings with a lower rent compared to new non-subsidised housing.

Mantua's affordable social residences in Borgochiesanuova

As part of the *PINQUA* investment, included in the Italian RRP, the municipality of Mantua has bought 5 private unused buildings that were degraded and created 79 new social housing units plus 13 additional units in a bordering neighbourhood, already assigned to citizens. The project thus allowed both to expand the social housing offer and to regenerate the area with the creation of a community hub and a solidarity emporium.



Borgochiesanuova, Mantua, Italy

